

Having successfully traversed the rings, the exit from the spiral is very simple. Within three years of buying, there is likely to be convergence between intrinsic value and price—leading to a handsome annualized return. Anytime this gap narrows to under 10 percent, feel free to sell the position and exit. You must sell once the market price exceeds intrinsic value. The only exception is tax considerations. If you're looking at short-term gains as a result, you should hold on until long-term gains can be realized or the price is enough of a premium over intrinsic value to cover the extra tax bite.

HOW MANY SIMULTANEOUS CHAKRAVYUH BATTLES?

Abhimanyu was consumed in his attempt to traverse a single chakravyuh. How many simultaneous battles should we engage in at one time? Warren Buffett, without fixating on the Kelly Formula, has often highlighted the benefits of concentrated equity ownership:

A lot of great fortunes in the world have been made by owning a single wonderful business. If you understand the business, you do not need to own very many of them.⁵

—Warren Buffett

And in 2003, he continued:

Really outstanding investment opportunities are rare enough that you should really have a go at it when it comes around, and put a huge portion of your wealth into it. I've said in the past you should